

**Indian Economic Development:
An Overview**

- 2) See Sub-sections 1.3.2 and 1.3.5
- 3) See Sub-section 1.3.6
- 4) See Sub-section 1.3.7

Check Your Progress 2

- 1) See Section 1.4
- 2) See Section 1.5

Check Your Progress 3

- 1) See Sub-section 1.6.1
- 2) See Sub-sections 1.6.2 and 1.6.3
- 3) See Sub-section 1.6.3(ii)
- 4) See Sub-section 1.6.3
- 5) See Sub-section 1.6.2

Check Your Progress 4

- 1) See Section 1.7
- 2) See Section 1.7



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UNIT 2 GROWTH AND STRUCTURE OF THE INDIAN ECONOMY

Structure

2.0 Objectives

2.1 Introduction

2.2 Overall Trends

2.3 Structural Change in the Economy

2.3.1 Composition of Gross Domestic Product

2.3.2 Sectoral Share of Employment

2.3.3 Share of Organised and Unorganised Sector in Output and Employment

2.3.4 Share of Rural and Urban sectors in Output and Employment

2.3.5 Share of Consumption, Government Spending, Investment and Net Exports in GDP

2.3.6 Share of the Public and the Private Sector in GDP

2.4 The Rise of Tertiary Sector: Composition, Causes and Prospects

2.4.1 Composition of the Service Sector

2.4.2 Causes of Rapid Increase in Tertiary Sector

2.4.3 Prospects and Opportunities

2.4.4 Limitations

2.4.5 Need for an Integrated Policy

2.5 Medium and Long-Term Growth Prospects of the Economy

2.5.1 Major Policy Initiatives in the Recent Decades

2.5.1.1 Containing Inflation and Soaring Fiscal Deficits

2.5.1.2 Beneficiary Focus and Targeted Delivery

2.5.1.3 Infrastructure

2.5.1.4 Federalism

2.5.1.5 Corporate Exits

2.5.1.6 Demonetisation

2.5.1.7 Goods and Services Tax (GST)

2.5.2 The Challenges that Remain

2.5.2.1 Non-farm Employment Opportunities

2.5.2.2 Demographic Transition and Dividend

2.5.2.3 Urbanisation

2.5.2.4 Poverty and Inequality

2.5.2.5 Environment and Climate Change

2.5.2.6 Infrastructure

2.6 Let Us Sum Up

2.7 Term- end Exercises

2.8 Key Words

2.9 References

2.10 Answers or Hints to Check Your Progress Exercises

2.0 OBJECTIVES

As you go through this unit, you will be able to:

- identify the growth path of the Indian economy since 1951;
- differentiate the stages of growth through which the Indian economy has evolved;
- recognise the factors that contributed to rapid growth in different stages;
- become familiar with the structural change that the Indian economy has gone through post-independence; and
- understand the medium to long-term prospects of India's economic growth.

2.1 INTRODUCTION

Different sectors of the economy, such as agriculture, industry or services employ natural, human, and material resources and contribute to the aggregate flow of goods and services during a given time period which may normally be specified as a year. This aggregate flow of final (as distinct from intermediate) goods and services constitutes the national product of the economy. Alternately, if the economic activity comprising the aggregate flow of goods and services is measured in terms of the income earned by all the different factors of production (land, labour, capital, and entrepreneurship) employed in the production process during the year it is termed as national income. The national income, it may be recalled, can also be measured as the aggregate expenditure in the economy in terms of private consumption, government spending, investment and the spending on net exports. The production, income and expenditure methods are three methods of estimating Gross Domestic Product and other national account aggregates. The rate of growth of the national income when compared with the rate of growth of population indicates whether the economy is declining, stagnant or growing. It is only when the national income grows at a rate faster than the rate of growth of population that the per capita income shows a rising trend; the people are able to improve their living standards and the economy is able to add to its stock of capital, which along with technology and labour supports economic growth. However, economic growth does not necessarily improve every citizen's living standards, something captured by a much broader and complex issue of development. While the country has been performing well in terms of growth, it seems to be lacking behind in terms of development.

The Central Statistical Office (CSO) has been producing annual official estimates of national income and other national accounts aggregates of India since 1955 and publishing it annually in *National Accounts Statistics* (NAS). It is with the help of this data that we shall study the trend in India's national income over the last seven decades.

2.2 OVERALL TRENDS

Post-independence, India's economic development can be seen in terms of the following phases, each with its characteristic pace of advancement, policy guidance and attendant changes in the structure of the economy: